ABC News analysis (Tom Crowley) · 29 October 2026

Why there's no easy way out of high inflation

ABC analysis argues that the narrow path to a soft landing promised in 2022 has failed. Policymakers are left to tighten and wait, and the only lasting fix, faster productivity growth, has no clear recipe.

WHAT HAPPENED

- Markets expect the cash rate to reach **4.85%, the highest in 18 years**. Rate rises work by squeezing demand, and borrowers take the hit.
- The RBA is aiming for prices to **rise more slowly**, not to fall.
- Crowley calls it a **"perfect storm"**: war-related constraints on supply have collided with an AI and data-centre investment boom that is lifting demand, in Australia and elsewhere.
- On the budget: Chalmers denies that public spending is the root cause, and Crowley says he may have a point. Crowley still criticises **EV and home-battery discounts** for channelling billions to high-income earners. He cites economist Chris Richardson's **"precautionary principle"**: governments should at least avoid adding to demand with new spending or big tax cuts.
- Without a **productivity** boom, he expects policy to go "harder for longer", holding back demand well into 2027.

BY THE NUMBERS

4.85%
Expected cash rate after 3 Nov

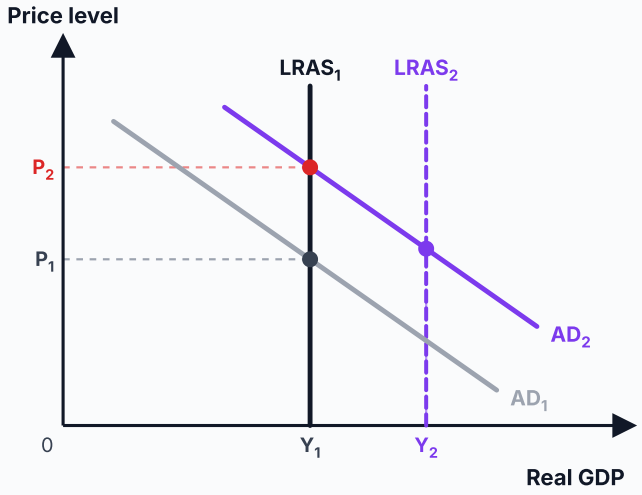
18 yrs
Since the cash rate was last this high

2022
When the "narrow path" was first promised

2027
Tight policy likely to last into

Key terms: soft landing · productivity · aggregate supply · demand management

DIAGRAM Why productivity is the lasting fix (illustrative)



An investment boom pushes aggregate demand from **AD_1 to AD_2**. With capacity fixed at **$LRAS_1$**, the extra spending only raises the price level, from **P_1 to P_2**.

Rate rises pull AD back, at a cost to jobs. Productivity growth instead shifts capacity out to **$LRAS_2$**, so output can grow to **Y_2** without extra inflation.

Exam angle: microeconomic reform is **slow and uncertain**, so in the short run macroeconomic policy carries the load. That makes a strong answer to any "limitations of policy" question.

SYLLABUS LINK

Topic 4 – Microeconomic reform and productivity; limitations of macroeconomic policy; the policy mix. Topic 3 – inflation.

TRY THIS

Assess the role of productivity growth in achieving sustained low inflation in Australia. **(5 marks)**

Tom Crowley, 'Bad inflation result lays bare the ugly truth: there is no easy way out', ABC News (analysis), 29 Oct 2026 – https://www.abc.net.au/news/2026-10-29/bad-inflation-result-political-pressure/107318484